

identification number), the machine instructs your bank to transfer money into the store's account. Using a debit card will take money from your account to make the payment, so long as you have enough money to cover the purchase. Using a credit card is different, since the bank is effectively lending you the money for that transaction, and it will have to be paid back at some time. Recently, a new generation of "smart cards" has appeared that contain an electronic chip that can communicate with a terminal via radio waves. This has allowed superfast "contactless" payment—simply putting the card very close to the terminal rather than inserting it. Similar technology has also produced apps for smartphones, so that they can be used in contactless transactions, replacing cards altogether.

Online

There are other ways you can make payments without cash or cards. You can instruct your bank to make payments straight from your account, by direct debit, to pay for things such as telephone and electricity bills, or set up a regular payment, for example, for your monthly rent. Most banks these days also offer an online banking service that allows account holders to manage their money through their home computers, tablets, or smartphones. On a secure website, you can see how much money you have in your account, but also make payments by transferring money directly from your account into someone else's, so long as you have their bank details.

